

TENTATIVE RULINGS FOR DEPT. S36 [DATE]
BEFORE THE HONORABLE JOSEPH WIDMAN

PLEASE NOTE: There may be multiple tentative rulings so view the entire document.

ATTENTION: Commencing December 10, 2022, the Court will no longer regularly provide an official Court Reporter to transcribe proceedings in this Department. Parties who wish to have an official record of the proceedings in addition to a minute order must retain a private Certified Shorthand Reporter for the hearing and must submit a “Stipulation and Order For Appointment of Official Reporter Pro Tempore” to the court in the form found on the Court’s website. If counsel are appearing for the hearing remotely, the Stipulation can be emailed to the Judicial Assistant for Department S-36 at kkosmatka@sb-court.org. The Court may sign the Order appointing the Certified Shorthand Reporter as the official Court Reporter Pro Tempore. Parties who do not retain a Certified Shorthand Reporter to be designated as an official Court Reporter Pro Tempore are deemed to have waived an official Court Reporter for the proceeding.

REFER TO THE GENERAL ORDERS AND FORMS POSTED ON THE COURT’S WEBSITE.

This Court follows California Rules of Court, rule 3.1308(b) for tentative rulings. (See San Bernardino Superior Court Local Emergency Rule 8.) Tentative rulings are posted on the court’s website after 3:00 p.m. the day before the hearing at [Tentative Rulings | Superior Court of California | County of San Bernardino](#). You may appear by remote appearance at the hearing. (<https://www.zoomgov.com/my/dept.s36>) You must appear at the hearing, unless ordered otherwise, prepared to address the issues set forth by the court in its ruling.

UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF RULING

SUPERIOR COURT OF THE STATE OF CALIFORNIA
FOR THE COUNTY OF SAN BERNARDINO

STEVIE YATES,

Plaintiff,

v.

JDB BUILDERS, INC., et al.,

Defendants.

Case No.: CIVSB2504186

**[TENTATIVE] ORDER
SUSTAINING IN PART AND
OVERRULING IN PART
PLAINTIFF/CROSS-DEFENDANT
STEVIE YATES'S DEMURRER TO
THE FIRST AMENDED CROSS
COMPLAINT; DENYING AS
MOOT MOTION TO STRIKE
FILED BY PLAINTIFF/CROSS-
DEFENDANT STEVIE YATES**

I. INTRODUCTION

This is a breach of construction contract case in which the plaintiff homeowner has filed a demurrer and motion to strike a cross-complaint filed by the defendant home improvement contractor.

A. Plaintiff's Allegations

On February 11, 2025, Plaintiff Stevie Yates filed a Complaint against Defendants JDB Builders, Inc. and Joshua Beltran.

On May 20, 2025, Plaintiff filed a First Amended Complaint, as of right, alleging the following causes of action: (1) Breach of Contract (against JDB, only), (2) Breach of Implied Covenant of Good Faith and Fair Dealing (against JDB, only), (3) Intentional Misrepresentation (against all Defendants), (4) Concealment (against all Defendants), (5) False Promise (against all Defendants), and (6) Violation of Business and Professions Code section 17200 (against all Defendants).

Plaintiff alleges that she was the owner of residential property located at 4355 Kickapoo Trail in Landers, California (“Property”). On October 5, 2021, Plaintiff desired to make certain improvements to the Property, including installation of an A-Frame Den, installation of an outdoor shower, and construction of a plunge pool, and requested proposals from various third parties, including Defendant JDB, to perform the desired work. All of Plaintiff’s communications with Defendant JDB were with Defendant Beltran, who held himself out as the “Managing Partner.” On October 20, 2021, Plaintiff accepted the terms of Defendant JDB’s written Construction Agreement, which indicated all work, including materials and labor, would be completed for the sum of \$72,000. Plaintiff alleges Defendants did not complete their scope of services within three to four months as agreed in the Construction Agreement. Further, the work was flagged for violating San Bernardino County building code ordinances. Plaintiff ultimately terminated the Construction Agreement on June 10, 2024, due to Defendants’ inability to complete the work in accordance with their agreement. (FAC ¶¶ 8-15, 24.)

B. JDB’s Cross-Complaint

On September 15, 2025, Defendant JDB filed a Cross-Complaint against Plaintiff. On July 9, 2029, Defendant JDB filed a First Amended Cross-Complaint (“FACC”) against Plaintiff, alleging the following causes of action: (1) Breach of Contract, (2) Breach of Covenant of Good

Faith and Fair Dealing, (3) Fraud By Concealment, (4) Promissory Fraud, and (5) Violation of Business and Professions Code section 17200.

Defendant JDB alleges that on December 15, 2022, it issued an invoice in the sum of \$13,820.98 to Plaintiff for the balance of the Construction Agreement and approved change order(s). However, Defendant JDB alleges that Plaintiff breached the Construction Agreement by failing to pay that sum, failing to cooperate with JDB as to JDB's performance of the construction work, and by delaying and preventing JDB from performing its duties. Defendant JDB also alleges that Plaintiff intentionally failed to disclose that Plaintiff intended to use the A-Frame Den as a sleeping quarter, which materially affected the permitting, scope, and compliance process. Defendant JDB further alleges that Plaintiff never intended to pay Defendant JDB for all monies due under the Construction Agreement. Defendant JDB alleges that had it known of these facts, it would have never entered into the Construction Agreement or would have materially changed the terms of the agreement to include additional labor, materials, fees, and costs. (FACC ¶¶ 8-22.)

C. Pending Motions

On July 21, 2026, Plaintiff filed a general demurrer to each of the five causes of action asserted in the FACC. In conjunction with the demurrer, Plaintiff has also filed a Motion to Strike, seeking to strike out all allegations relating to punitive damages alleged in the FACC.

On September 2, 2026, Defendant filed an opposition to both motions. On September 9, 2026, Plaintiff filed a reply. After issuing a tentative ruling and holding a hearing on the motion, the Court now issues its final ruling.¹

¹ The Court finds that the moving party has complied with its meet-and-confer obligation.

II. REQUEST FOR JUDICIAL NOTICE

Plaintiff requests the Court to take judicial notice of the following:

1. Exhibit A – Mechanic’s Lien recorded on August 18, 2023 as Document No. 2023-0204539 in the Official Records of County of San Bernardino; and
2. Exhibit B – Release of Mechanic’s Lien recorded on October 28, 2024 as Document No. 2024-0257518 in the Official Records of County of San Bernardino.

As a general proposition, the Court may take judicial notice of recorded deeds and other recorded instruments where authenticity of such documents is not challenged. (Yvanova v. New Century Mortgage Corp. (2016) 62 Cal.4th 919, 924, fn. 1 (Yvanova), citing Evid. Code, §§ 452, subds. (c) and (h), and 453.) “[A] court may take judicial notice of the fact of a document’s recordation, the date the document was recorded and executed, the parties to the transaction reflected in a recorded document, and the document’s legally operative language, assuming there is no genuine dispute regarding the document’s authenticity. From this, the court may deduce and rely upon the legal effect of the recorded document, when that effect is clear from its face.” (Fontenot v. Wells Fargo Bank, N.A. (2011) 198 Cal.App.4th 256, 265, disapproved on other grounds in Yvanova, supra, 62 Cal.4th at p. 939, fn. 13; see also Yvanova, supra, 62 Cal.4th at p. 924, fn. 1.)

In opposition, Defendant does not dispute the existence of the two recorded instruments, their recording dates, the parties named in them, or their operative language. However, Defendant correctly argues that judicial notice should not be extended to the truth of the recitals made within the instruments. (See Fremont Indemnity Co. v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 113 [holding that “[a]lthough the existence of a document may be judicially noticeable, the truth of statements contained in the document and its proper interpretation are not subject to judicial notice if those matters are reasonably disputable.”].)

As such, the Court GRANTS Plaintiff's Request Nos. 1 and 2, and take judicial notice of the instruments' existence, recording dates, the parties named in them, and their operative language, but not the truth of factual matters asserted therein, pursuant to Evidence Code section 452, subdivisions (c) and (h).

III. DEMURRER

Plaintiff demurs to the FACC on the following grounds: (A) all of Defendant's claims against Plaintiff are barred by the doctrine of release; (B) Defendant's First Cause of Action for Breach of Contract is insufficiently plead and impermissibly contains damages for reputational harm; (C) Defendant's Second Cause of Action for Breach of the Implied Covenant of Good Faith and Fair Dealing is insufficiently plead; (D) Defendant's Third and Fourth Causes of Action for Fraud by Concealment and Promissory Fraud are insufficiently plead; and (E) Defendant's Fifth Causes of Action for Violation of Business and Professions Code section 17200 is insufficiently plead.

A. Whether Defendant's Claims are Barred by the Doctrine of Release?

Plaintiff argues that Defendant cannot assert any claims against Plaintiff because on September 20, 2023, Defendant recorded a Release of Mechanic's Lien, which stated the following:

Know All Men by These Presents:

THAT the Mechanics Lien claimed by JDB Builders, Inc., PO Box 6217, Moreno Valley, CA 92554 against Stevie Lavelle Yates, 4355 Kickapoo Trail, Landers, CA 92285 upon the following described real property:

4355 Kickapoo Trail, Landers, CA, County of San Bernardino, State of California

is hereby released, the claim thereunder having been fully paid and satisfied, and that certain Notice of Mechanics Lien recorded as Instrument No. 2023-0204539 on August 18th, 2023, Official Records of San Bernardino County, California, is hereby satisfied and discharged.

(RJN, Exh. B.)

Plaintiff argues that when a contractor includes general release language in a Release of Mechanic's Lien, as Defendant did so here, without expressly confining the scope of the release to its lien rights, it effectively releases all claims relating to the underlying obligation and cannot later recover those amounts under a breach of contract theory, citing *Santa Clara Land Title Co. v. Nowack & Associates, Inc.* (1991) 226 Cal.App.3d 1558 (*Santa Clara*), and *JH Kelly, LLC v. AECOM Technical Services, Inc.* (N.D. Cal. 2022) 660 F.Supp.3d 840 (*JH Kelly*).

In *Santa Clara*, a contractor entered into a contract with a landowner to provide engineering services for a multi-unit residential development on eight acres in Alameda County. (*Santa Clara, supra*, 226 Cal.App.3d at p. 1561.) After performing extensive work but having received no payment, the contractor recorded a mechanic's claim of lien for \$30,021 against the property on September 5, 1980. (*Id.* at pp. 1561-62.) The contractor filed an action for a money judgment and to foreclose the mechanic's lien claim. Later, the property was sold to a new owner and the contractor received payment in full of its fees out of the property sale escrow. (*Id.* at p. 1562.)

Thereafter, the new owner retained the contractor to continue providing engineering services for development of the project. (*Santa Clara, supra*, 226 Cal.App.3d at p. 1562.) The new owner failed to pay contractor and the contractor recorded its second mechanic's claim of lien for \$14,658.50 against the property. (*Ibid.*) After the contractor recorded its second mechanic's claim of lien, the new owner attempted to secure financing, but the lender required that all mechanic's liens to be removed from title records. (*Ibid.*) As a result, the contractor executed a "Release of Lien" describing the property and providing in pertinent part: "That certain mechanics' notice and claim of lien recorded December 5, 1983 ... is hereby fully satisfied, released, and discharged." (*Ibid.*) However, the contractor claimed he executed the

release not intending to give up any mechanic's lien rights, but only to secure payment from the new owner. (*Ibid.*)

The Court of Appeal disagreed, holding that the release of lien effectively extinguishing both its claim of lien and the inchoate constitutional mechanics' lien right upon which such claim was based. (*Santa Clara, supra*, 226 Cal.App.3d at p. 1569.) However, in a footnote, the Court of Appeal noted that "the [contractor] may still pursue other avenues for repayment of its debt. Release of the lien does not extinguish the debt. Nor does it bar causes of action other than that for foreclosure of the mechanic's lien." (*Santa Clara, supra*, 226 Cal.App.3d at p. 1569, fn. 5.)

Santa Clara does *not* hold that releasing a mechanic's lien bars a contractor from seeking repayment of the underlying debt through other causes of action.

In *JH Kelly*, a subcontractor sued a prime contractor for damages after project modifications imposed substantial unanticipated work; the prime contractor counterclaimed for breach of contract. (*JH Kelly, supra*, 660 F.Supp.3d at p. 844.) The subcontract at issue required the subcontractor to submit invoices accompanied by lien waivers to the prime contractor as a precondition to getting paid. (*JH Kelly, supra*, 660 F.Supp.3d at p. 850.) The subcontractor's waiver included the following language: "... this document will become effective to release and relinquish pro tanto any and all claims and lien rights [subcontractor] may have for and in connection with the above referenced project for said labor performed and materials furnished through such date." (*Id.* at p. 851.) The prime contractor argued that by their plain terms, the subcontractor's lien waivers released all its claims for labor performed and materials furnished on the project, while on the other hand, the subcontractor argues that when the waiver is read in context, "any and all claims and lien rights" means "lien claims"—not all claims. (*Ibid.*) The United States District Court for the Northern District of California concurred with the prime

contractor and found that as a matter of law that the clear and plain language of the subcontractor's waiver releases "any and all claims" for labor and materials through the release date. (*Id.* at p. 852.)

In this case, by contrast, Defendant's Release of Mechanic's Lien does not contain language which is substantially similar to those in *JH Kelly*. Although the Release of Mechanic's Lien states that the Mechanics Lien "has been fully paid and satisfied," it falls short of stating that underlying claims for labor and materials would be similarly released.

A release agreement is governed under general principles of contract law. (*General Motors Corp. v. Superior Court* (1993) 12 Cal.App.4th 435, 439.) "The goal of contractual interpretation is to determine and give effect to the mutual intention of the parties." (*Safeco Ins. Co. v. Robert S.* (2001) 26 Cal.4th 758, 763.) Under the facts presented in this action, the language of the Release of Mechanic's Lien, alone, is insufficient to conclusively determine whether there was an intent by Defendant to release its claims for repayment of its underlying debt.

Therefore, the Court OVERRULES Plaintiff's demurrer to the entirety of FACC on the grounds that Defendant's Claims are Barred by the Doctrine of Release.

B. First Cause of Action for Breach of Contract

Plaintiff argues that Defendant's breach of contract claim is insufficiently alleged because Defendant has failed to identify whether the contract at issue is written, oral, or implied, and in that same vein, fails to include a copy of the purported change orders, or alternatively, plead its material terms, in support of its claim for \$13,820.98.

Rather than pleading the material terms of the agreement and change orders, Defendant attempted to incorporate the agreement by reference but failed to attach it. (See FACC ¶ 6.)

Plaintiff correctly contends that Defendant cannot recover damages for reputational harm under a breach of contract claim. (See FACC ¶ 10.) Injury to name, character, or personal reputation are not elements of damages recoverable for breach of contract. (*Gautier v. General Tel. Co.* (1965) 234 Cal.App.2d 302, 306.)

In opposition, Defendant does not directly address this argument but instead argues that Plaintiff cannot demur to only a portion of a cause of action. (*PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682.) While this is true, Defendant's breach of contract claim is nevertheless insufficient as a whole because it fails to attach a copy of the Construction Agreement and its associated change order(s) or plead its material terms.

Therefore, the Court SUSTAINS Plaintiff's demurrer to the First Cause of Action for Breach of Contract, with leave to amend.

C. Second Cause of Action for Breach of the Implied Covenant of Good Faith and Fair Dealing

Plaintiff argues that Defendant's breach of the covenant of good faith and fair dealing claim is duplicative of Defendant's breach of contract claim because it does not allege any additional facts beyond a mere contract breach.

Here, in its breach of contract claim, Defendant alleges that Plaintiff breached the Construction Agreement by failing to pay the balance in the sum of \$13,820.98 that was owed under the terms of the contract. (FACC ¶¶ 8-9.) However, in its breach of the covenant of good faith and fair dealing claim, Defendant additionally alleges that Plaintiff failed to cooperate with Defendant in its performance of construction work, delayed and prevented Defendant from performing its duties, and refused to make final payment to obtain leverage over Defendant. (FACC ¶ 13.)

Accordingly, Defendant's breach of the covenant of good faith and fair dealing claim does not appear to be duplicative.

Plaintiff also argues that a breach of the covenant of good faith and fair dealing is limited to circumstances where there is a "special relationship." A "special relationship" is required only when a party seeks tort remedies, such as emotional distress or punitive damages, for breach of the implied covenant. (See 1 Miller & Starr, Cal. Real Estate (4th ed. 2026) § 1:68.) Here, Defendant does not appear to seek additional tort remedies in its breach of the covenant of good faith and fair dealing. As such, no special relationship is required.

Therefore, the Court OVERRULES Plaintiff's demurrer to the Second Cause of Action for Breach of the Implied Covenant of Good Faith and Fair Dealing.

D. Third and Fourth Cause of Action for Fraud by Concealment/Promissory Fraud

The required elements for fraudulent concealment are (1) the defendant concealed or suppressed a material fact, (2) the defendant was under a duty to disclose the fact to the plaintiff, (3) the defendant intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff was unaware of the fact and would not have acted in the same way knowing of the concealed or suppressed fact, (5) causation, and (6) the plaintiff sustained damages. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 40 (*Rattagan*).)

For a fraudulent concealment claim, the court must determine whether the plaintiff has alleged a sufficient factual basis for establishing a duty of disclosure on the part of the defendant independent of the parties' contract. (*Rattagan, supra*, 17 Cal.5th at p. 43.) If the duty allegedly arose by virtue of the parties' relationship and defendant's exclusive knowledge or access to certain facts, the complaint must also include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) defendant's awareness of the

materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant's omission. (*Id.* at pp. 43-44.) "[M]ere conclusory allegations that the omissions were intentional and for the purpose of defrauding and deceiving plaintiff[] ... are insufficient for the foregoing purposes." (*Rattagan, supra*, 17 Cal.5th at p. 44, citing *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 347.)

In California, fraud must be pleaded with specificity rather than with "general and conclusory allegations." (*Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 184.) The specificity requirement means a plaintiff must allege facts showing how, when, where, to whom, and by what means the representations were made, and, in the case of a corporate defendant, the plaintiff must allege the names of the persons who made the representations, their authority to speak on behalf of the corporation, to whom they spoke, what they said or wrote, and when the representation was made. (*Lazar, supra*, 12 Cal.4th at p. 645.)

On the other hand, promissory fraud or false promise "is a subspecies of the action for fraud and deceit. A promise to do something necessarily implies the intention to perform; hence, where a promise is made without such intention, there is an implied misrepresentation of fact that may be actionable fraud." (*Rossberg v. Bank of America, N.A.* (2013) 219 Cal.App.4th 1481, 1498.) "The elements of promissory fraud ... are: (1) a promise made regarding a material fact without any intention of performing it; (2) the existence of the intent not to perform at the time the promise was made; (3) intent to deceive or induce the promisee to enter into a transaction; (4) reasonable reliance by the promisee; (5) nonperformance by the party making the promise; and (6) resulting damage to the promise[e]." (*Behnke v. State Farm General Ins. Co.* (2011) 196 Cal.App.4th 1443, 1453.) As with any other form of fraud, each element of a promissory fraud

claim must be alleged with particularity. (*Beckwith v. Dahl* (2012) 205 Cal.App.4th 1039, 1059-1060.)

Courts enforce the specificity requirement in consideration of its two purposes. The first purpose is to give notice to the defendant with sufficiently definite charges that the defendant can meet them. (*West v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 780, 793.) The second is to permit a court to weed out meritless fraud claims on the basis of the pleadings; thus, “the pleading should be sufficient “to enable the court to determine whether, on the facts pleaded, there is any foundation, prima facie at least, for the charge of fraud.”” (*Ibid.*)

Here, Plaintiff argues that Defendant’s fraud claims are insufficiently plead because Defendant does not identify any date or timeframe in which Defendant eventually learned that Plaintiff had failed to disclose its alleged material facts, *i.e.*, that Plaintiff intended to use the A-Frame Den as a sleeping quarter and/or that Plaintiff never intended to pay Defendant for all monies due under the Construction Agreement. (FACC ¶¶ 16, 20.)

Plaintiff points out that the statute of limitations requires that a fraud claim be commenced within three years upon discovery, by the aggrieved party, of the facts constituting fraud or mistake. (Code Civ. Proc., § 338, subd. (d).) Here, the Construction Agreement was entered on October 5, 2021 (see FACC ¶ 6) and Defendant’s initial Cross-Complaint was filed more than three years later on September 15, 2025.

When a pleading is facially untimely, the claimant bears the burden at the demurrer stage to plead facts establishing an exception to the limitations bar. (*Aryeh v. Canon Business Solutions, Inc.* (2013) 55 Cal.4th 1185, 1197.) One of these is the doctrine of fraudulent concealment, which tolls the statute of limitations if a defendant’s deceptive conduct “has caused a claim to grow stale.” (*Id.* at p. 1192.) In support of this doctrine, a plaintiff must allege the

supporting facts — *i.e.*, the date of discovery, the manner of discovery, and the justification for the failure to discover the fraud earlier—with the same particularity as with a cause of action for fraud. (*Fuller v. First Franklin Financial Corp.* (2013) 216 Cal.App.4th 955, 962.)

In opposition, Defendant states that it first learned of Plaintiff's intended purpose for the contemplated A-Frame Den on October 27, 2025, when certain communications were first produced in discovery while litigating this Action. However, this allegation is missing from the FACC itself.

Plaintiff also argues that the FACC fails to allege any facts explaining how Plaintiff's action(s) caused Defendant to suffer \$250,000 in monetary damages. In the FACC, Defendant merely states that "[a]s a result of the foregoing fraud and concealment, JDB was damaged in an amount according to proof, but in excess of \$250,000." (FACC ¶¶ 17, 23.) The FACC fails to allege whether these damages stem from lost business opportunities, unreimbursed labor, or unpaid materials. As such, the element of causation is insufficiently stated.

Therefore, the Court SUSTAINS Plaintiff's demurrer to the Third and Fourth Causes of Action for Fraud by Concealment and Promissory Fraud, with leave to amend.

E. Fifth Cause of Action for Violation of Business and Professions Code section 17200

Business and Professions Code section 17200, also known as the Unfair Competition Law ("UCL"), defines unfair competition to include any unlawful, unfair, or fraudulent business act or practice. (*Cel-Tech Comm., Inc. v. Los Angeles Cellular Tel. Co.* (1999) 20 Cal.4th 163, 180.) The purpose of the UCL "is to protect both consumers and competitors by promoting fair competition in commercial markets for goods and services." (*Kasky v. Nike, Inc.* (2002) 27 Cal.4th 939, 949.) Because the UCL is written in the disjunctive, it establishes three varieties of

unfair competition—acts or practices which are unlawful, or unfair, or fraudulent.” (*Podolsky v. First Healthcare Corp.* (1996) 50 Cal.App.4th 632, 647.)

Regarding the “unlawful” prong, the court in *Klein v. Chevron U.S.A., Inc.* (2012) 202 Cal.App.4th 1342, 1383, explains that it “borrows violations of other laws ... and makes those unlawful practices actionable under the UCL.” (*Lazar v. Hertz Corp.* (1999) 69 Cal.App.4th 1494, 1505.) “[V]irtually any law or regulation—federal or state, statutory or common law—can serve as [a] predicate for a ... [section] 17200 ‘unlawful’ violation.” [Citation].” (*Paulus v. Bob Lynch Ford, Inc.* (2006) 139 Cal.App.4th 659, 681.)

As for the “unfair” prong, a business practice is “unfair” if (1) the consumer injury is substantial; (2) the injury is not outweighed by any countervailing benefits to consumers or competition; and (3) the injury could not reasonably have been avoided by consumers themselves. (*Camacho v. Automobile Club of Southern California* (2006) 142 Cal.App.4th 1394, 1403.)

On the other hand, a business practice is “fraudulent” if it is “likely to deceive the public. [Citations.] It may be based on representations to the public which are untrue, and “also those which may be accurate on some level, but will nonetheless tend to mislead or deceive.... A perfectly true statement couched in such a manner that it is likely to mislead or deceive the consumer, such as by failure to disclose other relevant information, is actionable under” the UCL. [Citations.] The determination as to whether a business practice is deceptive is based on the likely effect such practice would have on a reasonable consumer. [Citation.]” (*McKell v. Washington Mutual, Inc.* (2006) 142 Cal.App.4th 1457, 1471.)

Plaintiff argues that Defendant’s UCL claim is insufficiently pled because Defendant merely allege that “[t]he foregoing conduct by [Plaintiff] is and was fraudulent, unfair, and/or

illegal, and is/was violative of B & P Section 17200 et seq.” (FAC ¶ 26), without any specific facts in support. Defendant does not identify any violations of any specific law, and does not identify any particular business practice that is either unfair or fraudulent.

In opposition, Defendant admits that its UCL claim is insufficiently plead and requests leave to amend it.

Therefore, the Court SUSTAINS Plaintiff’s demurrer to the Fifth Cause of Action for Violation of Business and Professions Code section 17200, with leave to amend.

IV. MOTION TO STRIKE

Motions to strike can be used to strike any “irrelevant, false or improper matter inserted in any pleading,” or to strike any pleading or part thereof “not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.” (Code Civ. Proc., § 436.)

The grounds to strike shall appear either on the face of the challenged pleading or from matters that are judicially noticed. (Code Civ. Proc., § 437.) Additionally, the court reads the allegations as a whole, with all parts in their context, and assumes their truth. (*Spielholz v. Superior Court (Los Angeles Cellular Telephone Company)* (2001) 86 Cal.App.4th 1366, 1371.)

In the Motion to Strike, Plaintiff seeks to strike out all allegations relating to punitive damages in Paragraphs 18 and 24 and Defendant’s request for punitive damages in Prayer Nos. 3 and 4. But in light of the Court’s ruling sustaining the demurrer to the Third and Fourth Causes of Action for Fraud by Concealment and Promissory Fraud, the Court DENIES AS MOOT the motion to strike.

V. CONCLUSION

1. Plaintiff’s Judicial Notice Request Nos. 1 and 2 are GRANTED. The Court takes judicial notice of the instruments’ existence, recording dates, the parties named in them, and their

operative language, but not the truth of factual matters asserted therein, pursuant to Evidence Code section 452, subdivisions (c) and (h);

2. Demurrer:

a. Plaintiff's demurrer to the entirety of FACC on the grounds that Defendant's Claims are Barred by the Doctrine of Release is OVERRULED;

b. Plaintiff's demurrer to the First Cause of Action for Breach of Contract is SUSTAINED WITH LEAVE TO AMEND;

c. Plaintiff's demurrer to the Second Cause of Action for Breach of the Implied Covenant of Good Faith and Fair Dealing is OVERRULED;

d. Plaintiff's demurrer to the Third and Fourth Causes of Action for Fraud by Concealment and Promissory Fraud is SUSTAINED WITH LEAVE TO AMEND;

e. Plaintiff's demurrer to the Fifth Cause of Action for Violation of Business and Professions Code section 17200 is SUSTAINED WITH LEAVE TO AMEND.

3. Plaintiff's Motion to Strike is DENIED AS MOOT.

IT IS SO ORDERED.

Dated: _____

[TENTATIVE – NOT FINAL]
Hon. Joseph B. Widman
Judge of the Superior Court